

■ BIG TALK: AJAY SRINIVASAN, CEO-Financial Services, Aditya Birla Financial Services

"Infrastructure finance is expected to be a big opportunity over the next five years"

CEO-Financial Services, ABFSG, Ajay Srinivasan, feels that financial services industry has changed a lot in the last decade. In conversation with Ritu Kant Ojha of The Indian Express, Srinivasan says that infrastructure growth in India has historically lagged economic growth but it has picked up pace post the XIth five year plan and is expected to grow even faster going forward. 'If India has to grow at 9 per cent plus, then infra is a key need and will probably accommodate more players than are present today', he says. Excerpts:

What were the most important events for the financial services industry in 2010?

The year 2010 will probably be viewed by many as a turnaround year that was better than originally anticipated where the Indian economy staged a remarkable recovery in growth.

India's financial services sector had a mixed year with regulatory change being a prominent theme. The important events for the financial services sector in 2010 to my mind would be:

- Far reaching and unprecedented regulatory changes in the life insurance industry
- Recommendation by RBI to free savings deposit rates
- The roller coaster ride of the MFI industry
- Discussion paper on new banking licenses
- Proposals for the new Direct Tax Code

After the new ULIP guidelines the Life Insurance industry is under pressure with many companies on cost cutting exercise.

When do you see life insurance back on track? Do you see life insurance companies focusing more on the Term Insurance going forward?

The year 2010 for the life insurance industry was characterized by far reaching regulatory changes that changed the way industry has worked for the last decade. The new regulations caused many players in the industry to re-look at their operating



and cost model and make it more effective.

The new regulations on ULIPs in particular came into force from Sept 1, 2010. While sales have slowed since then, the industry is in a transition and it is too early to predict where growth will settle. We continue to remain assured by the fact that the Indian growth and savings story will mean there is a large pool of money that will continue to look for savings and protection related solutions.

What are the focus areas for you at Aditya Birla Financial Services Group in the changing financial sector?

Today, we are a significant non-bank player, with over 15,000 employees, 60 lakh customers, 1,500 contact points

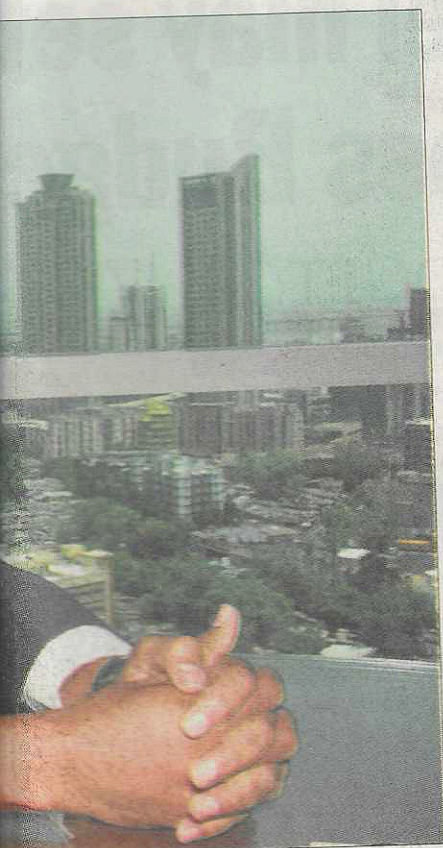
across India and assets under management as of Sept 30 of Rs 90,000 crores. ABFSG has set forth with growth plans in other business as well such as Private Equity, NBFC, Broking and wealth management. For ABFSG key focus areas would be to continue to grow in the existing lines of businesses while looking to provide for customer needs we currently don't cater to.

FII's have become very large players in the markets and determine its direction. What's your view on this?

FII inflows into domestic equity reached a record Rs 1.3 lakh crores (USD 28.8 billion) in 2010 and this drove the equity market to a large extent last year. Domes-

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equity markets viz pension funds, insurance funds and mutual funds.

How was the last decade for financial services industry?

Financial services industry has changed a lot in the last decade. For example, in the Life Insurance industry over the last decade we moved from being a one company dominated industry to a 23 player strong and highly competitive industry. The MF industry over the last decade has witnessed tremendous growth in both assets under management and customers.

There has been quite a strong growth of different categories of NBFCs too, from housing finance companies to vehicle financing entities to MFIs to those providing loans against gold.

Key milestones for the financial services industry in the last decade would be allowing private players to enter Life Insurance

- Allotting additional banking licenses to the private sector in early 2000- Balanced liberalization of the capital markets
- Opening up debt investments to FIIs- Changes in the primary market
- Growth of the MFI sector
- Growth of commodity and currency trading

How have new mutual fund regulations impacted the business and what are the steps industry is taking to improve the situation?

Mutual Funds have proven their role as long term wealth creators for investors. Many distributors have post the entry load ban, revised their business models, making it more cost efficient and focusing on the value being delivered to the investors. They have thus been able to adjust to the changed regime. There are of course those who have not been able to adjust to the new regime and have probably quit the industry. We as a fund house have been very supportive of distributors and we believe that they shall continue to

play a crucial part by helping the benefits of wealth creation seep to maximum Indians across the length and breadth of the nation. Having said that, the industry has seen some shrinkage in assets, partly as a result of market conditions and partly due to the reduction in distribution capacity. We have responded to this situation by a greater focus on helping existing distributors to learn and earn and trying to bring in newer distributors into the business.

What is your view on infrastructure financing and the opportunity for new players in this space?

Infrastructure growth in India has historically lagged economic growth but it has picked up pace post the XI five year plan and is expected to grow even faster going forward.

As per a recent analysis, total demand for infrastructure across emerging market nations will be Rs 220 lakh crores over the next decade (2008-17). Of this, India is forecast to account for some Rs 63 lakh crores (28 per cent). This would take India to become one of the larger investors in Infrastructure projects in the world. Infrastructure finance is expected to be a big opportunity over the next 5-10 years.

Recently, RBI has created a new class of NBFCs called Infrastructure Finance Companies (IFC), to make it easier for them to raise and deploy capital in this sector. There have been several other positive moves to encourage private player participation in this space. The scope of Infrastructure financing extends to Project lending, arranging of finance, Infrastructure advisory and several integrated and structured options. If India has to grow at 9 per cent plus, then infra is a key need and will probably accommodate more players than are present today.

What are the key challenges before the non bank financial services industry?

The three biggest challenges in my view would be

- market expansion which is going to demand new distribution models, innovative and more efficient delivery mechanisms and leveraging technology
- greater customer engagement since that alone will allow for the capture of the lifetime value of a customer
- people, since that is a key requirement in this business; skilling existing talent and finding new talent to be able to meet the growth plans are ever present challenges for the sector.

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tic insurance companies invested some-
thing like USD 1.5 bn in the stock mar-
kets (vs USD 7 bn in the previous year)
and mutual funds in aggregate were sellers
in 10 out of 12 months and for the year as a
whole. Retail investors invested much
more in F&O than the cash market and
trading horizons seem to have shortened.
With this kind of a pattern, we not only
become much more dependent on fore-
ign flows to determine the direction of
our market but become much more
linked to global events. In order to de-
velop a long term, stable capital market
and to ensure the benefits of our market's
growth are available to the Indian retail
saver, we will have to strengthen the do-
mestic sources of funds that are directed to